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Artificial Intelligence (AI) Action Plan

RFI Response

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Table of Contents

1.	YRCI INTRODUCTION	1
1.1	YRCI CAPABILITIES.....	1
2.	REIMAGINING FEDERAL GOVERNMENT HUMAN CAPITAL: AI-DRIVEN WORKFORCE TRANSFORMATION	1
3.	AI APPLICATION AND USE IN FEDERAL HR	2
3.1	CURRENT CHALLENGES.....	2
3.2	PROPOSED AI-DRIVEN POLICY ACTIONS	3
3.3	YRCI’S ROLE	4
4.	EXPLAINABILITY AND ASSURANCE OF AI MODEL OUTPUTS	5
4.1	CURRENT CHALLENGES.....	5
4.2	PROPOSED AI-DRIVEN POLICY ACTIONS	5
4.3	YRCI’S ROLE	6
5.	RESEARCH AND DEVELOPMENT FOR AI IN HR	7
5.1	CURRENT CHALLENGES.....	7
5.2	PROPOSED AI-DRIVEN POLICY ACTIONS	7
5.3	YRCI’S ROLE	8
6.	EDUCATION AND WORKFORCE DEVELOPMENT	8
6.1	CURRENT CHALLENGES.....	8
6.2	PROPOSED AI-DRIVEN POLICY ACTIONS	9
6.3	YRCI’S ROLE	9
7.	INTELLECTUAL PROPERTY AND AI-ENABLED HR SYSTEMS.....	10
7.1	CURRENT CHALLENGES.....	10
7.2	PROPOSED AI-DRIVEN POLICY ACTIONS	10
7.3	YRCI’S ROLE	11
8.	BUILDING A FUTURE-READY AI ENABLED FEDERAL WORKFORCE	12

1. YRCI Introduction

1.1 YRCI Capabilities



Since our founding in 2001, YRCI has built a modern workforce that successfully delivers comprehensive, mission-enabling services in Human Resources (HR), acquisition, finance, records management, and digital solutions to more than 80 Federal customers. Staff expertise includes but is not limited to personnel action and payroll processing; HR Information Systems (HRIS) and digital solutions/dashboards; and employee development and training. Our services and staff member expertise also includes HR Management consulting, end to end operational HR support, workforce planning and advisory services, business process mapping, Official Personnel Folder (OPF) to Electronic Official Personnel Folder (eOPF) conversions and maintenance, and timekeeping. YRCI is an E-Verify Employer and has been granted a Facility Security Clearance at the Secret level by the Defense Industrial Security Clearance Office.

2. Reimagining Federal government Human Capital: AI-Driven Workforce Transformation

The federal workforce is the backbone of government operations, yet the hiring and talent management processes that support it remain slow, rigid, and misaligned with modern workforce demands. As agencies strive to meet evolving mission objectives, they must navigate outdated policies that delay hiring, limit access to top talent, and create inefficiencies in workforce planning. The need for transformation is clear: federal HR must evolve to be faster, smarter, and more adaptive to the needs of both agencies and job seekers.

YRCI is a forward-thinking federal government contractor dedicated to reimagining HR processes by leveraging emerging technologies and data-driven strategies. With deep expertise in federal hiring and workforce development, YRCI understands the structural and procedural barriers that agencies face when recruiting, onboarding, and managing employees. Our approach is rooted in solving federal HR complexity through automation, artificial intelligence (AI), and streamlined policy frameworks that reduce administrative burden while improving hiring outcomes.

By embracing AI, federal agencies have an opportunity to unlock efficiencies that will accelerate hiring timelines, enhance applicant assessments, and improve workforce agility. However, to realize AI's full potential in HR, policymakers must rethink existing regulatory constraints and create an environment where AI-driven tools can complement human decision-making. The responsible application of AI in federal hiring can lead to a more transparent and effective workforce while maintaining the integrity of merit-based hiring principles.

YRCI's response to the AI Action Plan Request for Information (RFI) outlines concrete policy actions that will enable AI-driven transformation in federal HR. Our recommendations focus on optimizing AI application in hiring, ensuring explainability in AI-driven decisions, investing in AI research for HR innovation, upskilling the federal workforce to operate AI systems effectively, and establishing policies that safeguard AI-generated workforce data. Each of these areas represents a critical step in modernizing federal HR and positioning agencies to meet their workforce challenges with agility and confidence.

As a trusted partner in federal HR modernization, YRCI is committed to working alongside policymakers, agency leaders, and technology innovators to drive meaningful change. We believe the federal government has a unique opportunity to set the standard for AI-enabled workforce management, and our

recommendations provide a strategic path forward. Through thoughtful policy adjustments and targeted investments, AI can serve as a powerful tool to enhance federal HR operations, making them more efficient, effective, and future-ready.

To drive meaningful change in federal workforce management, agencies must adopt policies that fully embrace AI's ability to redefine hiring, workforce planning, and employee development. AI presents an unprecedented opportunity to transform HR operations by automating complex processes, accelerating decision-making, and optimizing workforce strategies. By leveraging AI's capabilities to the fullest extent, federal agencies can unlock efficiencies that significantly reduce hiring timelines, enhance candidate assessments, and streamline workforce management at scale.

YRCI recognizes that AI is poised to fundamentally reshape the way federal HR functions. Traditional hiring and talent management processes are built around manual workflows that introduce delays, inconsistencies, and inefficiencies. AI-driven systems can analyze vast amounts of workforce data, identify top talent in real time, and automate key decision points to ensure a highly responsive, adaptable federal workforce. As AI continues to evolve, the opportunity to optimize and, in some cases, fully automate aspects of HR will drive significant gains in operational efficiency and mission readiness.

To fully capitalize on AI's potential, agencies must adopt forward-leaning policies that enable AI to take on a more autonomous role in federal HR, enhancing human productivity and creativity, while ensuring transparency, oversight, and security. By moving beyond outdated regulatory constraints, the government can position itself at the forefront of AI-driven HR transformation, maximizing automation where feasible and allowing AI to execute workforce decisions with precision. Strategic investments in AI research, workforce upskilling, and policy modernization will be critical to fostering a truly AI-enabled government workforce.

To support this transformation, YRCI proposes targeted AI policy actions across five key areas highlighted in the AI Action Plan RFI:

1. Application and Use of AI in Federal HR
2. Explainability and Assurance of AI Model Outputs
3. Research and Development for AI in HR
4. Education and Workforce Development
5. Intellectual Property and AI-Enabled HR Systems

The following sections outline specific policy recommendations in each of these areas, detailing how AI can be fully leveraged to accelerate HR processes, improve workforce outcomes, and establish a modern federal workforce that is optimized for speed, accuracy, and adaptability.

3. AI Application and Use in Federal HR

3.1 Current Challenges

The federal hiring process is constrained by rigid policies that create inefficiencies in talent acquisition, security processing, and workforce classification. The traditional hiring model often fails to keep pace with evolving mission needs, resulting in delayed recruitment, inconsistent application of hiring rules, and a lack of flexibility in workforce planning. AI has the potential to optimize hiring pipelines, standardize classification systems, and streamline security clearances, but existing regulations must be updated to fully unlock AI's benefits.

- Public notice requirements (5 U.S.C. §§ 3327 and 3330) impose fixed timelines for job postings before selections can be made, preventing agencies from using AI-driven pre-screening and automated candidate evaluations to accelerate hiring. The inability to assess applicants in real time increases delays for hiring managers, who must wait for the public notice period to expire before reviewing applicants.
- The federal government has expanded the use of Shared Certificates to increase hiring flexibility; however, policies governing shared certificates (5 CFR § 332.408) still require consideration of public notice and internal employee rights (5 CFR § 335), adding additional steps to the hiring process. While AI could help manage these complexities by automating eligibility verifications and ranking candidates dynamically, current policies limit AI's ability to streamline these actions.
- Classification policies (5 CFR 511) maintain rigid job series structures that do not align with AI-driven skills-based hiring models. The manual process of determining occupational classification contributes to delays and inconsistencies when hiring for new or evolving roles. AI could be leveraged to analyze major duty statements, assess classification benchmarks, and recommend proper series and grades more efficiently than traditional methods.
- Veterans' Preference rules (5 CFR 211, 332, and 337.304) require manual adjudication of veteran status and ranking preferences, introducing risks of human error, subjectivity, and processing delays. AI-driven hiring automation could accurately validate veterans' documentation in real-time and ensure compliance with ranking regulations while reducing administrative burden.
- Security and suitability policies (5 CFR 731 and 732) introduce inefficiencies in background checks due to duplicative clearance processes across agencies. Many agencies lack a centralized AI-powered adjudication system, resulting in delays, redundant investigations, and inconsistencies in risk assessments. AI-based clearance adjudication would increase accuracy, expedite security processing, and enable real-time reciprocity across federal agencies and save the government money.
- The USA Staffing talent acquisition system currently restricts hiring flexibility through process-driven requirements that lack AI-enhanced customization. Agencies cannot easily tailor hiring processes to fit mission needs, limiting AI's role in adaptive hiring strategies, candidate ranking, and applicant tracking enhancements.
- The federal government currently operates multiple pay scales and pay bands developed over the last 50 years (5 CFR Part 530-550). These fragmented systems pose challenges in salary translation and hinder workforce mobility. AI-driven pay conversion tools could create a standardized framework that improves salary consistency across agencies while simplifying pay band transitions.

3.2 Proposed AI-Driven Policy Actions

To fully integrate AI into federal HR, policymakers must focus on modernizing regulations to allow AI to accelerate hiring timelines, enhance classification accuracy, and improve workforce adaptability. The following policy actions would enable AI-driven hiring and workforce management while maintaining compliance with federal merit principles.

- Amend public notice rules (5 U.S.C. §§ 3327 and 3330) to allow AI-driven pre-screening and automated candidate assessments during the public notice period. AI tools can identify top candidates as applications are received, significantly reducing time-to-hire without compromising merit-based competition.

- Modernize classification systems (5 CFR 511) by implementing AI-driven competency assessments and using AI to review major duty statements and recommend classifications based on federal standards.
- AI could be leveraged in classification desk audits and appeals by conducting automated interviews and preliminary classification analyses, streamlining the review process.
- Automate veterans' preference adjudication (5 CFR 211, 332, and 337.304) by developing AI-based verification tools that instantly validate veteran eligibility, apply ranking rules, and identify anomalies, ensuring transparent, merit-based applications while reducing manual errors.
 - Streamline security clearance adjudication (5 CFR 731 and 732) by consolidating background check processes into an AI-powered federal security database, which could Automate identity verification using real-time government data sources.
 - Detect and flag discrepancies before human adjudication, reducing the need for redundant reviews.
 - Leverage federal reciprocity agreements to allow AI-driven risk assessments across agencies, eliminating duplicate investigations.
- Use AI to model and simulate the impact of policy changes on the federal hiring process in real time by analyzing historical hiring data and predicting potential bottlenecks before they arise. AI-driven policy simulations would allow proactive adjustments to HR regulations, ensuring continuous hiring process improvement.
- Develop an AI-driven conversion system (5 CFR Part 530-550) to create a standardized salary translation framework, which would:
 - Convert pay rates between GS, WG, and alternative pay systems in real time.
 - Align pay bands with AI-driven labor market analysis to ensure competitive federal compensation.
 - Facilitate salary harmonization for cross-agency transfers, improving workforce mobility and hiring flexibility.

3.3 YRCI's Role

YRCI brings deep expertise in federal hiring policies, workforce classification, and system transitions, positioning us to develop AI-driven hiring tools and resume repositories that modernize talent acquisition. Our solutions prioritize merit-based and efficient hiring, leveraging AI to reduce human error, eliminate redundancies, and accelerate decision-making.

As a leader in federal HR transformation, YRCI provides:

- AI-driven hiring solutions that enhance applicant screening, ranking, and skills assessment, ensuring faster and more precise selections.
- Classification modernization strategies using AI to simplify and standardize job series determinations across agencies.
- Security clearance process optimization by integrating AI-driven risk assessments and automated adjudication models.
- Advanced pay banding methodologies, utilizing AI to harmonize salaries across federal agencies and enable real-time salary conversion.

YRCI has successfully reduced time-to-hire across multiple agencies, with a specialized focus on mission-critical occupations. By combining digitally advanced HR solutions with expert validation and policy compliance, we help agencies implement scalable, forward-thinking hiring strategies that align with modern workforce demands.

4. Explainability and Assurance of AI Model Outputs

4.1 Current Challenges

Federal hiring policies emphasize transparency and accountability, but the integration of AI into hiring and workforce management introduces challenges related to explainability and oversight. While AI has the potential to enhance efficiency and decision accuracy, agencies must ensure that AI-driven tools align with federal hiring regulations and can be audited for compliance.

- Merit System Principles (5 U.S.C. § 2301) require transparent and explainable hiring practices, but AI models often operate as "black boxes," making it difficult to understand or challenge AI-driven decisions. Without clear AI explainability requirements, agencies may struggle to justify hiring selections or address applicant concerns.
- Rating and reconsideration processes (5 CFR 300.104) place responsibility for rating errors on the examining office or rater, requiring manual intervention even in cases where AI-driven models provide more consistent and unbiased assessments. The current lack of AI integration in rating reconsideration means that errors must be manually reviewed, extending the hiring process.
- Labor-related issues (5 CFR Part 7101-9701) are currently handled exclusively by human personnel, which can introduce inconsistency when addressing workforce disputes. AI could provide objective, policy-based decision support in resolving labor issues while maintaining compliance with federal labor regulations.
- No Fear Act compliance monitoring is largely manual and reactive, creating delays and transparency gaps in how workplace concerns are tracked and addressed. AI-driven compliance monitoring could detect potential irregularities early and improve reporting accuracy.

The application of AI in delegated examining (DE) activities presents both opportunities and challenges within the framework of federal personnel management policy. Under 5 U.S.C. § 1104, agencies must have delegated authority to conduct competitive examinations, and OPM maintains oversight to ensure compliance with civil service laws and merit system principles (5 U.S.C. §§ 1103(a)(5), 1104(b)(1)-(2), and 2301). This requirement presents barriers to AI implementation, as agencies would need explicit authorization to integrate AI-driven assessments into examining processes. Additionally, since not all agencies have delegated examining authority, AI-driven hiring tools or resume repositories could face government-wide implementation challenges due to inconsistent examination procedures across agencies.

4.2 Proposed AI-Driven Policy Actions

To ensure AI-driven hiring and workforce management remain transparent, accountable, and aligned with federal regulations, policymakers should implement clear guidelines for AI explainability and compliance monitoring. The following policy actions would establish trust and oversight mechanisms while enabling AI-driven efficiency improvements.

- Mandate AI hiring models to generate human-readable justifications for every hiring decision, ensuring AI-generated recommendations can be reviewed and understood in accordance with 5 U.S.C. § 2301.

- Establish a standardized AI auditing framework (5 CFR 300.104) to ensure AI-driven assessments comply with merit-based hiring principles, including detection mechanisms in place before deployment.
- Develop an AI-driven compliance monitoring system (5 CFR 300.104) that continuously scans hiring patterns, rating determinations, and reconsideration cases to detect potential inconsistencies.
- Introduce an AI ethics review board within OPM to oversee AI-based hiring systems, ensuring they align with federal hiring policies. Create an AI-driven virtual assistant for labor-related issues (5 CFR Part 7101-9701) to provide objective assessments of workforce disputes, conduct cases, and labor-management relations, ensuring faster and more consistent resolution processes.

Additionally, AI presents a significant opportunity to enhance certification and recertification processes for delegated examining unit staff. Instead of requiring personnel to complete OPM training followed by proctored testing, AI could be leveraged to:

- Automate knowledge assessments with adaptive testing tailored to individual competency levels, ensuring faster and more precise delegated examining unit certifications.
- Provide real-time feedback and targeted learning modules, allowing examiners to stay up to date with changing federal hiring policies.
- Monitor compliance by analyzing decision patterns and flagging inconsistencies with OPM hiring standards.
 - AI systems could serve dual purposes by scanning existing policies and suggesting improvements based on evolving workforce trends.
- Streamline the recertification process, reducing administrative burdens while maintaining rigorous oversight to ensure continued compliance with OPM's hiring mandates.

4.3 YRCI's Role

YRCI is committed to advancing responsible AI adoption in federal HR, ensuring that AI-driven hiring remains explainable and aligned with federal merit principles. Through training, compliance support, and AI-driven workforce solutions, YRCI helps agencies integrate AI in a way that enhances decision-making without compromising oversight.

- YRCI-University consistently averages an 80% success rate with its Delegated Examining Certification Preparatory Course compared to OPM's national average, demonstrating proven effectiveness in delegated examining unit training and certification.
- YRCI can modernize and enhance delegated examining unit certification courses by incorporating AI-driven automation, tracking tools, and adaptive learning models to support faster, more efficient certification processes.
- By partnering with YRCI to integrate AI into delegated examining unit certification, training, and compliance monitoring, agencies can improve efficiency, standardize hiring decisions, and reduce reliance on manual training and proctored exams, aligning with OPM's oversight responsibilities while modernizing federal hiring practices.

YRCI's expertise in policy-driven AI integration positions it as a key partner in federal HR transformation, ensuring agencies benefit from AI advancements while maintaining compliance transparency in hiring.

5. Research and Development for AI in HR

5.1 Current Challenges

The federal government lacks a cohesive strategy for AI-driven HR research and development (R&D), leading to inconsistent adoption of AI solutions across agencies. While AI has demonstrated significant potential to improve hiring efficiency, workforce analytics, and employee lifecycle management, the absence of centralized research initiatives and funding mechanisms hinders widespread implementation.

- There is no centralized federal R&D hub for AI-driven HR innovations, resulting in fragmented AI adoption and duplication of efforts across agencies. Agencies often develop disparate AI solutions that do not interoperate, reducing the scalability and effectiveness of AI tools in federal HR.
- Limited AI research funding for workforce applications has slowed federal HR technology modernization. While AI is transforming private sector hiring, the federal government has not prioritized dedicated funding streams to support AI HR innovations, limiting its ability to develop cutting-edge hiring and workforce planning solutions.
- The Chief Human Capital Officers Act of 2002 mandates workforce development strategies but does not account for AI-driven talent forecasting. As AI becomes an integral part of strategic workforce planning, federal HR policies must incorporate AI-driven analytics to enhance talent acquisition, retention, and succession planning.
- To train AI for HR functions, AI systems must be allowed to learn from government workforce data, which must be digitized, standardized, and maintained by federal HR experts. However, inconsistent data formats, regulatory restrictions, and outdated information systems present barriers to effective AI model training. Without clear policies governing AI training data, agencies risk underutilizing AI's capabilities in workforce management.

5.2 Proposed AI-Driven Policy Actions

To enable AI-driven workforce transformation, the federal government must prioritize HR-focused AI research and development, creating a structured ecosystem that supports AI innovation, cross-agency collaboration, and workforce optimization.

- Establish a Federal AI HR Innovation Hub to fund and coordinate pilot programs for AI-driven hiring, workforce planning, and career development. This hub would serve as a centralized R&D entity, ensuring AI solutions are scalable, interoperable, and aligned with federal workforce goals.
- Develop an inter-agency AI HR data exchange, allowing AI models to train on standardized federal HR datasets for more accurate and efficient AI model training. By digitizing and structuring workforce data, agencies can improve AI-driven hiring tools, employee analytics, and HR automation technologies.
- Launch federal-private partnerships to accelerate AI-based HR solutions, ensuring federal agencies have access to cutting-edge AI advancements in hiring, onboarding, benefits management, and workforce analytics. These partnerships would encourage technology transfer and best-practice sharing between government and industry leaders.
- Expand the Chief Human Capital Officers Act of 2002 to include AI-driven workforce analytics for talent forecasting, allowing agencies to use predictive AI models to assess workforce needs, identify skill gaps, and proactively plan for future hiring demands.

- Provide federal grants to support the development of AI HR capabilities across key HR functions, including hiring, onboarding, employee benefits, and career development. AI-driven HR innovations should be incentivized through funding mechanisms that encourage cross-agency collaboration and workforce optimization.

5.3 YRCI's Role

YRCI is a recognized leader in federal HR modernization, supporting R&D initiatives that drive AI adoption in hiring, workforce planning, and employee lifecycle management. With deep expertise in federal workforce policies and HR technology solutions, YRCI is uniquely positioned to:

- Develop AI-driven hiring tools that enhance talent acquisition, resume screening, and applicant assessments, ensuring faster and more efficient federal hiring processes.
- Support AI workforce data standardization efforts, helping agency's structure and digitize HR data to improve AI model accuracy and interoperability.
- Lead AI workforce analytics research, assisting agencies in developing AI-driven forecasting models that predict workforce needs, skill gaps, and hiring trends.
- Facilitate federal-private AI partnerships, enabling agencies to leverage industry-leading AI technologies in HR automation, employee engagement, and performance management.

By integrating AI-powered research and development strategies, YRCI helps federal agencies modernize HR functions, optimize workforce operations, and prepare for AI-driven transformation.

6. Education and Workforce Development

6.1 Current Challenges

The successful integration of AI into federal HR depends on a workforce that is trained and prepared to leverage AI-driven tools effectively. However, gaps in AI literacy, outdated training models, and rigid workforce development policies limit the ability of federal employees to fully adopt and manage AI-enhanced HR processes. Without comprehensive AI training programs and policy adjustments, agencies risk underutilizing AI capabilities and failing to modernize workforce operations.

- Workforce AI literacy remains low, reducing agencies' ability to effectively implement AI-driven decision-making in HR functions. Federal employees and HR professionals often lack exposure to AI systems, data-driven hiring models, and automation tools, creating a skills gap that slows AI adoption and reduces efficiency.
- Rigid workforce training policies (5 CFR 410) do not support personalized, AI-driven learning experiences. Current training models rely on standardized approaches that fail to account for individual learning speeds, competency levels, and evolving workforce requirements. AI-driven adaptive learning models could tailor training programs to individual employees, ensuring that each HR professional develops the necessary skills to manage AI-driven HR operations.
- The federal probationary period (5 CFR 315 Subpart H, 5 U.S.C. §§ 4301-4305) is designed to evaluate new employees before permanent appointment, yet it does not incorporate AI-driven performance tracking. AI-based workforce analytics could provide real-time insights into employee performance, engagement, and readiness for full-time placement, ensuring more data-driven probationary assessments while improving workforce retention and long-term planning.

To ensure AI can be fully leveraged in HR operations, federal agencies must prioritize AI-focused workforce development initiatives, integrating advanced learning models and performance tracking systems to prepare the workforce for sustained AI adoption.

6.2 Proposed AI-Driven Policy Actions

To bridge the AI skills gap and ensure federal HR professionals can fully leverage AI capabilities, policymakers must modernize training programs, probationary assessments, and workforce development policies. The following policy actions will enable AI integration into workforce education, ensuring the government maintains a highly skilled, AI-ready workforce.

- Develop AI literacy training mandates for federal HR professionals, ensuring that employees are equipped to manage AI-integrated HR operations. AI training should be required at multiple levels of government service, ensuring that HR professionals, hiring managers, and agency leaders fully understand AI-driven decision-making tools and their policy implications.
- Incorporate AI-driven adaptive learning models into federal training programs to provide personalized, real-time learning experiences. AI-driven training systems can analyze individual learning styles, recommend customized training paths, and dynamically adjust content to optimize knowledge retention and skill-building. These AI-enabled learning tools will ensure employees stay ahead of workforce technology trends and HR automation advancements (5 CFR 410.101).
- Establish a Federal AI HR Upskilling Fund, enabling government-wide AI training initiatives that ensure agencies have the resources to train employees on AI integration, policy compliance, and ethical AI governance in HR. A centralized funding approach will eliminate disparities in AI training accessibility, ensuring that all federal HR professionals could develop AI competency.
- Modernize probationary period assessments (5 CFR 315 Subpart H, 5 U.S.C. §§ 4301-4305) by incorporating AI-based performance tracking tools. AI-driven analytics can monitor workplace behavior, productivity, and compliance with federal performance standards, providing real-time insights into employee potential and readiness for full-time placement. This data-driven approach will allow agencies to make more objective and informed hiring decisions while ensuring consistent and merit-based evaluation criteria.

By implementing these AI-driven training policies, federal agencies will equip employees with the knowledge and skills necessary to manage, oversee, and optimize AI-driven HR operations.

6.3 YRCI's Role

YRCI is at the forefront of AI-enabled workforce training solutions, ensuring that federal employees develop the skills necessary to leverage AI-driven HR technologies. YRCI has extensive experience designing, implementing, and supporting federal HR training programs, making it well-positioned to develop AI-driven training solutions that align with workforce development policies.

- YRCI develops customized AI-driven training tools for federal clients, incorporating best practices in federal HR, software applications, and regulatory compliance into interactive, AI-powered learning models. These tools provide step-by-step instruction guides, AI-assisted simulations, and real-time competency assessments to maximize learning outcomes.
- YRCI has been consistently recognized for its high level of customer service, which can be leveraged to develop AI-powered chatbots and virtual assistants. These AI-driven tools can support strategic workforce conversations, provide real-time status updates, and assist in workforce planning efforts,

ensuring HR professionals have access to AI-assisted guidance when making critical workforce decisions.

By combining AI-driven training programs with expert-led workforce development solutions, YRCI ensures that federal agencies can transition into AI-integrated HR environments with confidence and efficiency. Through custom AI training programs, chatbot-assisted HR support, and interactive learning solutions, YRCI is helping federal HR teams embrace AI transformation while maintaining regulatory compliance and operational excellence.

7. Intellectual Property and AI-Enabled HR Systems

7.1 Current Challenges

As AI continues to play a larger role in federal HR functions, agencies must address the issue of data ownership, transparency, and interoperability. AI-generated HR data, ranging from automated hiring assessments to workforce analytics and predictive models, raises important questions about who controls, stores, and accesses this data. Without clear policies, federal agencies risk losing control of critical HR information, becoming dependent on proprietary AI vendors, and limiting the government's ability to adapt AI systems to evolving workforce needs.

- Unclear ownership of AI-generated HR data and hiring assessments creates potential vendor lock-in. Many AI-driven hiring platforms and workforce analytics tools are built and maintained by private-sector vendors using proprietary algorithms and data structures. If agencies do not retain clear ownership of AI-generated workforce data, they risk being tied to a specific vendor's ecosystem without the flexibility to migrate data or modify AI models to meet government priorities.
- Proprietary AI hiring tools lack transparency, limiting interoperability across agencies. Many existing AI hiring solutions operate as closed systems, meaning agencies cannot fully audit or modify AI-driven recommendations. Without transparency into AI model training data, bias mitigation techniques, and decision-making processes, agencies cannot ensure merit-based hiring practices or align AI-driven workforce solutions with federal merit principles.

The future of AI in federal HR depends on establishing policies that protect government ownership of AI-generated workforce data, mandate transparency in AI hiring solutions, and create open architectures for cross-agency interoperability. Without these safeguards, agencies will face long-term risks in data control, workforce intelligence, and hiring fairness.

7.2 Proposed AI-Driven Policy Actions

To ensure federal agencies retain control over AI-driven HR data and solutions, policymakers must implement clear guidelines for AI data ownership, transparency, and interoperability. The following policy actions will prevent vendor lock-in, enhance AI explainability, and promote innovation in AI-enabled HR systems:

- Define AI-generated HR data as federal property, ensuring the government retains control over AI-generated hiring assessments, workforce analytics, and decision-making models. This policy will prevent data monopolization by private vendors and enable agencies to adapt AI solutions to mission needs without external restrictions.
- Mandate open-source AI solutions for HR, allowing agencies to integrate AI tools without vendor dependency. By requiring AI-driven hiring and workforce management platforms to use open architectures, agencies can standardize AI hiring processes, ensure data interoperability, and maintain flexibility in future AI system upgrades.

- Require AI model builders to disclose training data sources and biases, ensuring full transparency in AI-based hiring. Vendors must provide clear documentation on how AI models are trained, what data sources are used, and what bias-mitigation techniques are applied, allowing agencies to audit AI decision-making and maintain compliance with federal hiring regulations.
- Incorporate microservice architecture and integrations for agile and dynamic interactions and transactions. AI-driven HR platforms should be modular and API-driven, enabling agencies to integrate AI hiring tools with existing HR systems while maintaining data portability and adaptability.
- Produce “trust” sites summarizing generative AI output and content with anonymized data across HR functions (i.e., hiring, onboarding, benefits, etc.). These trust sites would provide transparency dashboards, allowing agencies to review AI-generated recommendations, track workforce trends, and assess AI-driven hiring decisions to ensure accuracy and consistency.
- Establish guidelines for neural network capabilities in a decentralized, open network environment to further prevent vendor lock-in. Agencies should implement federal AI governance standards that ensure neural networks used in hiring assessments and workforce analytics can operate independently of specific vendors while maintaining consistency and compliance across agencies.
- Launch a shared community to permit development of new services based on the above framework and what is “centralized” across it. This initiative would create an AI HR innovation ecosystem, allowing agencies to collaborate on AI-driven workforce solutions, share best practices, and co-develop AI tools that align with government-wide HR objectives.

By implementing these policy actions, federal agencies will establish a secure, transparent, and government-controlled AI HR ecosystem, ensuring long-term adaptability and data integrity.

7.3 YRCI's Role

YRCI is committed to advocating for open, transparent AI HR ecosystems, ensuring that federal agencies retain control over workforce data while fostering innovation and interoperability. As a leading expert in federal HR modernization, YRCI provides strategic guidance on AI system design, data governance, and workforce intelligence solutions, ensuring agencies have the tools and knowledge necessary to navigate AI integration.

- YRCI advises on AI system and network architecture, including data store definitions, workforce data integrations, and AI model governance, ensuring agencies maintain full ownership and control over HR records and transactions.
- YRCI supports federal HR leaders in developing AI transparency frameworks, helping agencies implement audit-ready AI systems that align with merit-based hiring principles, workforce goals, and federal HR compliance standards.
- YRCI's expertise in HR can guide agencies in ensuring they are presented in AI-driven workforce transformation initiatives, helping federal HR teams navigate AI policy changes, optimize AI-driven hiring tools, and implement AI workforce analytics solutions that improve talent acquisition and workforce planning.

By partnering with YRCI, agencies can rapidly develop and operationalize AI-driven HR ecosystems that balance automation with accountability, ensuring AI hiring solutions remain transparent, adaptable, and

aligned with long-term government workforce strategies. YRCI's expertise in AI-driven HR transformation makes it a trusted partner in shaping the future of AI-enabled federal HR.

8. Building a future-ready AI Enabled Federal Workforce

The integration of AI into federal HR represents a paradigm shift in workforce management, offering unparalleled opportunities to enhance hiring efficiency, optimize workforce planning, and improve decision-making. However, realizing AI's full potential requires a policy framework that supports innovation, ensures transparency, and fosters workforce adaptability. The federal government has an opportunity to lead the way in AI-driven HR transformation, but this will require bold action, strategic investment, and regulatory modernization. YRCI urges policymakers to take a proactive approach in shaping AI policies that accelerate HR innovation while ensuring merit-based, secure, and accountable hiring practices.

The first critical step is to remove regulatory barriers that are slowing AI adoption. Many existing federal hiring and workforce management policies were designed for manual processes, creating roadblocks to implementing AI-driven efficiencies. Public notice requirements, classification structures, and security clearance policies must be updated to allow AI-driven tools to accelerate hiring timelines and reduce administrative burden. Without these reforms, agencies will continue to grapple with outdated processes that limit their ability to attract and retain top talent. Streamlining hiring regulations will enable AI to create a more agile, responsive federal workforce that can adapt to evolving mission needs.

Equally important is ensuring that AI-driven hiring prevents algorithmic bias and remains explainable and aligned with federal merit principles. AI's ability to automate candidate assessments, match skills to job requirements, and analyze workforce data must be balanced with policies that mandate transparency, prevent bias, and maintain accountability. Establishing AI auditing frameworks, explainability standards, and ethics oversight boards will ensure that AI models are interpretable, justifiable, and free from unintended irregularities. YRCI supports AI policies that preserve the integrity of the federal hiring process while leveraging AI's analytical power to enhance decision-making.

Beyond hiring, investment in AI HR research, workforce upskilling, and AI infrastructure will be key to long-term success. AI is not just a tool for automation, it is a strategic enabler of workforce intelligence, career development, and operational efficiency. Policymakers must prioritize funding for AI-driven HR innovations, ensuring agencies have access to state-of-the-art AI tools, training programs, and cross-agency AI collaboration platforms. Additionally, equipping federal employees with AI literacy and training will be essential in ensuring AI solutions are effectively managed, monitored, and optimized. A skilled, AI-ready workforce will be the foundation of a future-proof government.

By embracing these policy recommendations, the federal government can build a future-ready, AI-enabled workforce that is efficient, agile, and capable of meeting the evolving needs of the American public. YRCI stands ready to lead this transformation, bringing expertise in federal HR modernization, AI-driven hiring solutions, and workforce development. Through strategic partnerships, innovative HR solutions, and deep policy expertise, YRCI is committed to helping federal agencies harness the power of AI to revolutionize human capital management. The time for action is now; by modernizing policies, fostering AI innovation, and investing in workforce capabilities, federal HR can enter a new era of efficient and effective technological excellence.

